

How Trump's Fight Against the Fed Could Trigger a Stagflation Slump



By [Jamie Rush](#), [Anna Wong](#), [David Wilcox](#), and [Nick Hallmark](#)

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✦ Takeaways by Bloomberg AI

- The president has attempted to exert control over the Federal Reserve, including trying to fire Fed Governor Lisa Cook and installing one of his chief economic advisers, Stephen Miran, on the Federal Open Market Committee.
- The near-term impact of political control of the Fed could be an appearance of healthy growth and low unemployment, but the painful reality of inflationary malaise and weaker growth would follow.
- Eroding Fed independence may buy short-term growth, but the long-term employment, inflation, and output costs would turn it into a losing proposition.

This piece is from a [Bloomberg Economics report](#) for the New Economy Forum which went to press in October.

The independence of the Federal Reserve is grounded in the principle that the US Congress, not the president, has the power to set its mission and the Fed has control of how that mission is accomplished. Try telling that to Donald Trump.

The president has turned his desire to bend the Fed to his will into a near-daily drumbeat. No longer satisfied merely cajoling Jerome “Too Late” Powell, as he’s nicknamed the Fed chair, to act, Trump has attempted to fire Fed Governor Lisa Cook and installed on the Federal Open Market Committee one of his chief economic advisers, Stephen Miran.

To his supporters that reflects an overdue overhaul of a Fed that has missed its inflation target for more than four years, suffers from an overdose of

groupthink and delivered a preelection rate cut they believe was aimed more at reelecting Democrats than keeping the economy on an even keel.

To his detractors it represents a partisan political takeover, and an attempt to install a low-rates supermajority on the FOMC in the same way a conservative supermajority dominates the Supreme Court. For Trump, nothing less than lowering interest rates by 3 percentage points will do.

Using our model of the US economy, {BECO MODELS SHOK <GO>}, we explore two scenarios for how political control of the Fed could affect the US economy.

In both, the near-term impact is an ersatz glow of healthy growth and low unemployment. The painful reality of inflationary malaise, higher nominal rates and weaker growth takes some time to follow. In the more extreme scenario, Republicans head into the 2028 elections with the economy in a stagflationary slump.

It would be tempting to dismiss Trump's attacks as a kind of MAGA dog whistle, meant to convince his supporters they'd be better off if only the money mandarins would loosen up. The consequences if Trump were to succeed are far more serious, and all too real.

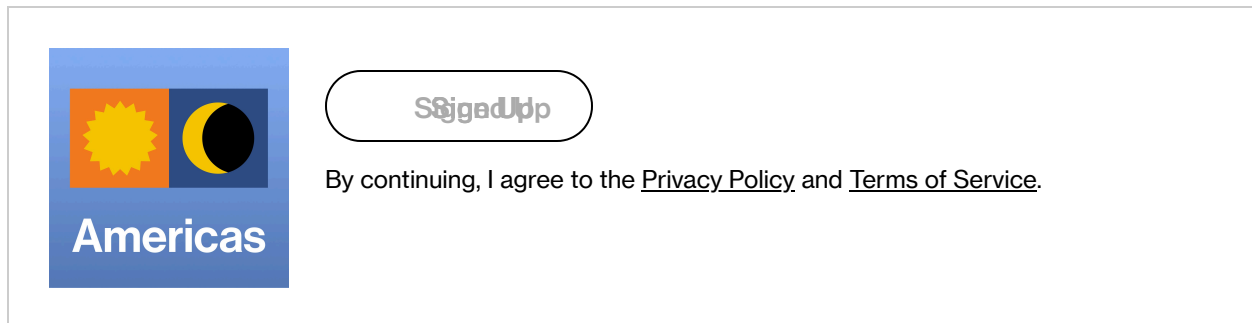
The reason is simple: If monetary policy is set by politicians, there's a temptation to juice the economy ahead of elections, including the 2026 midterms that will determine whether Trump ends his term with a pliant Congress or a divided one. Enjoy the benefits of higher employment and growth now, and deal with the soaring inflation and painful corrections later. In that world, everyone other than the meddling politician is worse off.

This isn't just economic theory. It's what really happened in the 1970s. President Richard Nixon—no paragon of good governance—called on Fed Chair Arthur Burns to help him in the '72 election by keeping rates low. Burns delivered, Nixon won, and inflation continued creeping upward. With a significant assist from the Arab oil embargo, the consumer price index climbed toward 15% in 1980. It took the “Volcker shock” of significantly

higher interest rates, and a pair of deep recessions, to bring the CPI under control.

Toward a More Friendly Board

Now Trump is trying to stack the Fed board with his appointees—a shift that allies say injects necessary diversity of opinion but many in the economics profession view as a dramatic new threat to independence.



His attempt to fire Cook over alleged mortgage fraud was put on hold by the Supreme Court, which said she can stay in the job at least until after the justices hear arguments in January. Cook denies the claims. Miran, the head of Trump's Council of Economic Advisers, took part in the Fed's September deliberations, believed to be the first time since 1936 that a Senate-confirmed economic adviser did so.

A Cook replacement plus Miran would give Trump four Fed appointees—enough to control the outcome of the board's required vote to approve the reappointment of all 12 Reserve Bank presidents, a vote that must take place by March 1, 2026.

Trump's barrage of barbs on Powell continued to intensify over the summer, when Bloomberg Economics' index of executive-branch attacks on Fed independence reached a record in July.

Of course, words matter, and presidential words matter quite a lot. Bloomberg Economics looked at scenarios where political influence pushes the Fed's reaction function in a more dovish direction.

Two Scenarios

The Fed has a dual mandate to achieve maximum employment and price stability. In the first scenario, we assume the Fed puts much more weight on keeping unemployment low than on getting inflation down to target—a stance often favored by politicians.

In this scenario there are two more interest-rate cuts than in our baseline, and, recognizing the shift in behavior, inflation expectations are less well anchored. Price gains drift up toward 3%.

The extreme scenario models an abrupt political takeover, where the Fed cuts the policy rate to Trump's stated preference of 1% and holds it there regardless of what the inflation data show.

Inflation expectations move significantly higher, the Fed fails to respond, and the economy booms—but only briefly. With inflation moving above 4%, the Fed's loss of independence is suddenly priced in as a regime shift. That sees five-year borrowing costs climb 3 percentage points—comparable to the late 1970s—as investors demand compensation for the risk of persistently higher inflation.

What looks like a boom in 2026 could quickly unravel into stagflation by 2027, just ahead of the next presidential election. Not in our model, but also important: risks to the dollar's reserve currency status as foreign investors worry its value will be inflated away.

The lesson is clear. Eroding Fed independence may buy short-term growth, but the long-term employment, inflation and output costs would turn it into a losing proposition. Try telling that to the Republicans who see the Fed not as honest brokers of the best economic outcome but as Democrat partisans aiming to keep their party in office.



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